

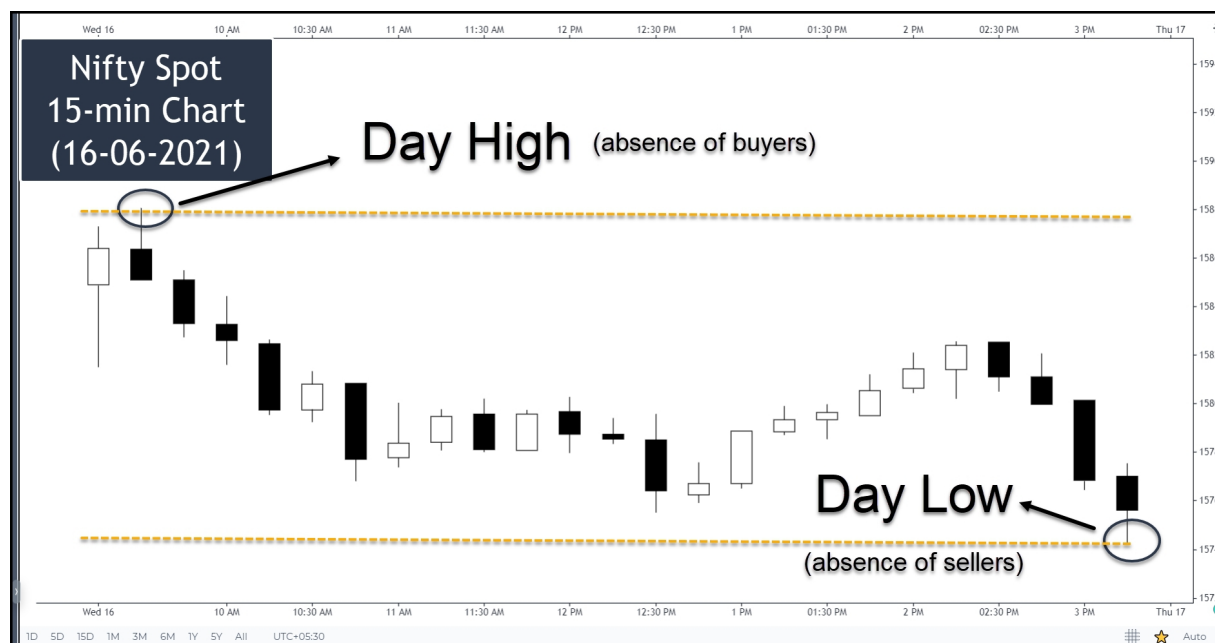


Image 3.5 – Day High & Low in Nifty

The above image shows 15-min chart of Nifty on 16-June-2021. The second candle high is 15880, and the price failed to trade above this level. Hence, it also becomes the day's high on 16-June-2021.

It indicates that the last buying was exhausted at 15880 levels, and the selling started from this level on this particular day.

We all think that market is open only during market hours. But it is not correct. The market is open 24x7 in people's minds, and only trade execution is allowed during market hours.

Traders listen to many sources of information, and they develop an opinion (either bull or bear). These opinions will get converted as trades, and hence when the market opens on the next day, it shows an open at a different price level compared to the previous day's close.

Coming back to our example, assume nothing much happened overnight and all the markets remained stable. So, in this case, **the same level (i.e., PDH 15880) can act as a resistance on the next trading day** (high probability).

On other hand, assume many positive things happened overnight, and the price opened above PDH (15880) on the next trading day. Then there is a higher probability of PDH level acting as support (resistance acts as support concept).